THE QCO REJIG

Products under Quality Control Order (QCO) coverage rose from less than 70 in 2016 to nearly 790 in 2025. In 2025-26, the Rajiv Gauba committee found that while many of them were justified to raise quality standards, they had increasingly become barriers to supply chains, exports and MSME growth



How many QCOs were to be revoked

There were 208 QCOs that required urgent change as they were impacting economic growth. Of this, so far, 116 have been either rescinded, deferred or suspended

The core principles for revocation

The committee decided that mandatory QCOs should primarily apply to finished products that directly affect consumer safety, health or the environment—not to raw materials and intermediate industrial inputs. The report notes that major manufacturing economies such as the EU, US, Japan and Vietnam generally do not require mandatory factory-level certification for many upstream industrial inputs. Instead, quality assurance is handled through buyer audits, contractual standards and voluntary certification systems

Main reasons behind revocation

↘ SUPPLY CHAINS DISRUPTED

Many QCOs covered upstream industrial inputs such as steel, polymers, chemicals, fibres and metals rather than finished goods. This was creating shortages of specialised imported grades needed by downstream industries. Example: restrictions on polyester fibre and yarn, EVA copolymers and CRGO electrical steel reportedly raised input prices by 10-30% and forced some plants to operate below capacity

↘ MSMEs HIT HARDEST

Small firms struggled with BIS certification costs, factory inspections, testing requirements and long approval timelines

116
QCOs
revoked out of 208 identified for urgent change

10-15%
REDUCTION
in cost disabilities expected across critical sectors

↘ EXPORT COMPETITIVENESS SUFFERED

QCO-related restrictions raised the cost of key inputs above global benchmarks. Textile examples: Indian synthetic fabric manufacturers face fibre and yarn prices 20-35% higher than competitors. India's MMF apparel exports face a 5-10% factory-gate cost disadvantage versus Vietnam and Bangladesh. MMF exports to the EU fell 9% after QCO implementations. Exports to the US stagnated

↘ INNOVATION, TECH TRANSFER AFFECTED

Global suppliers of specialised materials often avoided BIS certification because Indian requirements differed from international norms. The result was reduced access to advanced materials used in electronics, EV components, advanced manufacturing, modern footwear production

320,000 factories in India, only 644 inspectors are available, which means each inspector is theoretically responsible for around 500 factories. Fire safety illustrates the problem. In many states, fire NOCs (no-objection certificates) are valid for only 1-3 years, forcing businesses to repeatedly submit the same information and re-enter lengthy approval processes. At the same time, departments often lack the capacity to process applications promptly. Experts argued that extending validity periods, adopting risk-based inspections and using accredited third parties—as Australia and Canada successfully do for building safety approvals—could reduce compliance costs, ease administrative burdens and improve enforcement outcomes.

Working largely under the radar, Somanathan and his task force divided the states among several Union secretaries who, in turn, interfaced with the respective chief secretaries and worked with them to bring about change. Detailed dossiers were prepared and officials flew across the country, meeting chief secretaries, industry bodies and, in several cases, chief ministers. Because land, labour and local approvals fall within the constitutional jurisdiction of states, New Delhi relied on persuasion rather than compulsion. Nageswaran, who reviewed the progress of the task force in his Economic Survey report in January this year, pointed out, "What distinguishes this exercise from earlier deregulation drives is not only the number of reforms but institutional process: cross-agency coordination and iterative problem-solving with states."